

4. Regulatory Quality (RQ)

Regulatory Quality (RQ) captures perceptions of the government's ability to design and implement policies and regulations that promote private sector development.

The table below lists the individual indicators drawn from each underlying data source and incorporated into the revised WGI. These indicators represent the specific questions or variables used to estimate the RQ governance scores for the most recent year available. In some cases, question wording differs in earlier years, and three data sources have been discontinued (but continue to be used in the calculation of governance measures for the past years in which they were available). Users should consult the WGI website for a [complete list](#) of source-specific data files containing all historical indicators.

Before the data are used in the aggregation model, each question or variable is rescaled to range from 0 to 1, with higher values corresponding to better governance outcomes. When a data source includes multiple questions or variables related to the same dimension, the rescaled values are averaged to produce a single source–dimension input prior to aggregation. This ensures that each source contributes only one signal per dimension and prevents data providers with more questions from being given undue weight.

Representative Sources

Code	Question or Variable
EIU	Discriminatory tariffs
	Discriminatory taxes
	Excessive bureaucracy/red-tape
	Excessive protection
	Price controls
	Protection of intellectual property rights
	Unfair competitive practices
GCS	Burden of government regulation
	Ease of Compliance with government regulation
	Efficiency of legal framework in challenging regulations
	Efficiency of legal framework in settling disputes
	Intellectual Property Protection
	Prevalence of non-tariff barriers
	Property Rights
HER	Financial Freedom
	Investment Freedom
PRS	Investment Profile - Payment Delays
	Investment Profile - Repatriation
WBS	reg1 Managers dealing with government regulations
	reg1 Managers time spent dealing with government regulations
	reg5 Tax administration as an obstacle
	tr9 Customs and trade regulations as an obstacle
	wk9 Labor regulations as an obstacle
WJP	Factor 6: Regulatory Enforcement
WMO	Policy instability
	Regulatory Burden

Code	Question or Variable
	Tax inconsistency

Non-representative Sources

Code	Question or Variable
ADB	Business Regulatory Environment Efficiency of Revenue Mobilization Property Rights & Rule Based Governance Regional Integration Trade Policy
ASD	Business Regulatory Environment Efficiency of Revenue Mobilization Trade Policy
BPS	Constraint: Tax administration Constraint: Customs Constraint: Labor regulation
BTI	Market Organization
EBR	Competition policy Price liberalisation Trade and foreign exchange system
GII	In practice, companies found guilty of violating procurement regulations are prohibited from participating in future bids. In practice, major public procurements involve competitive bidding. In practice, women have equal access to employment opportunities and benefits in the workplace.
IFD	Access to and use of rural financial services Investment Climate for Rural Businesses Legal frameworks for and autonomy of rural people's organizations Policies and framework for rural development and rural poverty alleviation Trade policy
PIA	Business Regulatory Environment Efficiency of Revenue Mobilization Trade Policy
WCY	Bureaucracy does not hinder business activity Capital markets (foreign and domestic) are easily accessible Capital markets: Capital markets (foreign and domestic) are easily accessible Competition legislation is efficient in preventing unfair competition Foreign investors are free to acquire control in domestic companies Intellectual property rights are adequately enforced Labor regulations (hiring/firing practices, minimum wages, etc.) do not hinder business activities Legal and regulatory framework: The legal and regulatory framework encourages the competitiveness of enterprises Parallel (black-market, unrecorded) economy does not impair economic development Protectionism does not impair the conduct of your business Public sector contracts are sufficiently open to foreign bidders Real personal taxes do not discourage people from working or seeking advancement Subsidies do not distort fair competition and economic development Tax evasion is not a threat to your economy The legal and regulatory framework encourages the competitiveness of enterprises

Code	Organization	Data Source
ADB	African Development Bank	Country Policy and Institutional Assessment
AFR	Afrobarometer	Afrobarometer Surveys
ARB	Arab Barometer	Arab Barometer Surveys
ASB	Asian Barometer	Asian Barometer Survey
ASD	Asian Development Bank	Country Performance Assessment
BPS	World Bank; European Bank for Reconstruction and Development	Business Environment and Enterprise Performance Survey (BEEPS)
BTI	Bertelsmann Foundation	Bertelsmann Transformation Index
CCR	Freedom House	Countries at the Crossroads
EBR	European Bank for Reconstruction and Development	Transition Indicators
EIU	Economist Intelligence Unit	Operational Risk Service; Democracy Index
EQI	Quality of Governance Institute at University of Gothenburg	European Quality of Governance Index
EUB	European Union	Eurobarometer
FRH	Freedom House	Freedom in the World; Freedom of the Net; Nations in Transit
GCB	Transparency International	Global Corruption Barometer
GCS	World Economic Forum	Executive Opinion Survey
GII	African Institute for Development Policy	Africa Integrity Indicators
GWP	Gallup	Gallup World Poll
HER	Heritage Foundation	Index of Economic Freedom
HRM	Human Rights Measurement Initiative	Rights Tracker
HUM	University of North Carolina-Asheville	Political Terror Scale
IFD	International Fund for Agricultural Development	Rural Sector Performance Assessment
IJT	Crisis24	Country Security Assessment Ratings
IRP	Ghana Center for Democratic Development	African Electoral Integrity Index
LBO	Latinobarometro	Latinobarometro
MSI	International Research and Exchanges Board	Vibrant Information Barometer
OBI	International Budget Partnership	Open Budget Survey
PIA	World Bank	Country Policy and Institutional Assessment
PRS	The PRS Group	International Country Risk Guide
RSF	Reporters Without Borders	Press Freedom Index
VAB	Center for Global Democracy at Vanderbilt University	Americas Barometer Survey
VDM	Varieties of Democracy Institute	Varieties of Democracy
WBS	World Bank	Enterprise Surveys
WCY	Institute for Management Development (IMD)	World Competitiveness Report Survey
WJP	World Justice Project	Rule of Law Index
WMO	S&P Global	Country Risk Scores